

Breakout direction. Price can break out either up or down; however, because price ends the pattern near the top of it, an upward breakout is most likely.

[Figure 57.2](#) shows two examples of ascending scallops. The left one has an upward breakout and the right one has a downward one. An upward breakout occurs when price closes above the highest high in the pattern (above point A); a downward breakout happens when price closes below the lowest low (below point B).

The J shape of each scallop is well defined with the end far above the price at the start. Between the beginning and end is a rounded-looking, concave recession forming the bottom of the pattern. Sometimes the turn looks irregular with a few price bars getting in the way of a curved line drawn along the valley lows, but that is fine. Use the figures in this chapter as examples of ascending scallops.

Focus on Failures

Scallops suffer from what I call 5% failures. A 5% failure happens when price breaks out in the intended direction but fails to continue moving in the same direction by more than 5%. Price doubles back and heads in the opposite direction, sometimes causing a trader to lose money.

[Figure 57.3](#) shows an example of failure. There is nothing wrong with the April–May ascending scallop. Price rounds up nicely and continues higher while the volume pattern is bowl-shaped if you disregard the twin spikes in early May.